



CHAPTER 57

An Act to make additional provision for payments in respect of certain unfit houses subject to compulsory purchase, clearance, demolition or closing orders; and for purposes connected therewith. [2nd August, 1956]

BE it enacted by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

1.—(1) Where, on the thirteenth day of December, nineteen hundred and fifty-five, a house was wholly or partly occupied as a private dwelling by (or by a member of the family of) a person who acquired an interest in that house by purchase for value during the material period, then if at any time during the ten years commencing with the said date that house has been purchased at site value in pursuance of a compulsory purchase order or vacated in pursuance of a clearance order, demolition order or closing order and if at the date when the house was purchased compulsorily or, as the case may be, vacated the person aforesaid or a member of his family was entitled to an interest in the house, the appropriate authority shall make in respect of that interest a payment of an amount equal to its full compulsory purchase value less the compensation which was or would have been payable in respect of the interest in connection with the compulsory purchase of the house at site value:

Payments in respect of unfit houses occupied by owners.

Provided that any amount which would otherwise be payable under this section shall be reduced by so much, if any, of that amount as may reasonably be attributed to any part of the house occupied at the date of the making of the order for any purposes other than those of a private dwelling.

(2) The foregoing subsection shall have effect—

- (a) where a person ceased to occupy a house or part of a house not more than one year before the said thirteenth day of December by reason only of a posting in the course of his duties as a member of the armed forces of the Crown or of a change in the place of his employment or occupation, as if that person had occupied that house or part on that day in like manner as immediately before he ceased to occupy it; and
- (b) where a house had been vacated before the said thirteenth day of December in consequence of the making of a compulsory purchase order in respect thereof or in pursuance of a clearance order, demolition order or closing order but the demolition of that house had not been started by that day, as if that house had been occupied on that day by the same person and in the like manner as immediately before it was vacated and, in the case of a clearance, demolition or closing order, as if it had been vacated immediately after that day.

(3) Any question arising under the proviso to subsection (1) of this section as to the purposes for which any part of a house was occupied shall be determined by the Minister, and subject thereto the amount of any payment in respect of an interest under this section shall be determined (in default of agreement), and any such payment shall be dealt with, as if it were compensation payable in respect of a compulsory purchase of the interest under Part III of the principal Act:

Provided that, in relation to an interest which, at the date when the house was purchased compulsorily or, as the case may be, vacated, was held by virtue of an agreement to purchase by instalments, this subsection shall have effect as if the words “ and any such payment shall be dealt with ” were omitted therefrom, and the payment shall be made to the person entitled to the interest at the said date.

(4) Where a payment falls to be made under this section in respect of any person's interest in a house and at the date when the house was purchased compulsorily or, as the case may be, vacated, that interest was the subject of a mortgage or other charge or an agreement to purchase by instalments, either party to the mortgage, charge or agreement may apply to the county court who, after giving to the other party to the mortgage, charge or agreement an opportunity of being heard, may, if the court thinks fit, make an order—

- (a) in the case of a house which has been purchased compulsorily, discharging or modifying any outstanding liabilities of the person aforesaid by virtue of any bond,

covenant or other obligation with respect to the debt secured by the mortgage or charge or by virtue of the agreement; or

- (b) in the case of a house vacated in pursuance of a clearance order, demolition order or closing order, discharging or modifying the terms of the mortgage, charge or agreement,

and in either case either unconditionally or subject to such terms and conditions, including conditions with respect to the payment of moneys, as the court may think just and equitable to impose.

(5) In determining in any case what order, if any, to make under the last foregoing subsection, the court shall have regard to all the circumstances of the case, and in particular, in the case of a mortgage or charge—

- (a) to whether the mortgagee or person entitled to the benefit of the charge acted reasonably in advancing the principal sum on the terms of the mortgage or charge; and
- (b) to the extent to which the house may have become unfit for human habitation owing to any default on the part of the mortgagor or person entitled to the interest charged in carrying out any obligation under the terms of the mortgage or charge with respect to the repair of the house,

or, in the case of an agreement to purchase by instalments, to how far the amount already paid by way of principal, or, where the house has been purchased compulsorily, the aggregate of that amount and so much, if any, of the compensation in respect of the compulsory purchase as falls to be paid to the vendor, represents an adequate price for the purchase; and for the purposes of paragraph (a) of this subsection the mortgagee or person entitled to the benefit of the charge shall be deemed to have acted unreasonably if, at the time when the mortgage or charge was made, he knew or ought to have known that in all the circumstances of the case the terms of the mortgage or charge did not afford sufficient security for the principal sum advanced.

2.—(1) Where, on or after the thirteenth day of December, nineteen hundred and fifty-five, a house has been purchased at site value in pursuance of a compulsory purchase order or vacated in pursuance of a clearance order or demolition order and at the date of the making of the order that house was occupied wholly or partly for the purposes of a business and the person entitled to the receipts of the business held an interest in the house, the appropriate authority shall make in respect of that interest a payment of an amount equal to the full compulsory purchase value of the interest less the compensation which was or would

Payments in respect of business premises in unfit houses.

have been payable in respect of the interest in connection with the compulsory purchase of the house at site value:

Provided that—

- (a) any amount which would otherwise be payable under this section shall be reduced by so much, if any, of that amount as may reasonably be attributed to any part of the house not occupied at the date of the making of the order for the purposes of the business;
- (b) no payment shall be made under this section in respect of any interest in a house unless the house was occupied wholly or partly for business purposes, and a person entitled to the receipts of a business carried on wholly or partly therein held an interest in the house, either on the said thirteenth day of December or at all times during the ten years preceding the date of the making of the order.

(2) Any question arising under paragraph (a) of the proviso to the foregoing subsection as to the purposes for which any part of a house was occupied shall be determined by the Minister, and subject thereto the amount of any payment in respect of an interest under this section shall be determined (in default of agreement), and any such payment shall be dealt with, as if it were compensation payable in respect of a compulsory purchase of the interest under Part III of the principal Act.

Payments in respect of unfit but well maintained houses.

3.—(1) For the purposes of any payment made on or after the thirteenth day of December, nineteen hundred and fifty-five, under section forty-two of the principal Act (which provides for payments to be made in respect of unfit houses which have been well maintained), the Minister may from time to time by order made by statutory instrument vary the multipliers specified with respect to rateable value in paragraph (b) of subsection (2) of the said section forty-two; and any payment made under the said section forty-two on or after the said thirteenth day of December but before the passing of this Act (other than any amount which falls to be dealt with under subsection (4) of this section) shall be adjusted accordingly:

Provided that an order under this subsection shall be of no effect until it is approved by a resolution of each House of Parliament.

(2) If—

- (a) a house has, on or after the said thirteenth day of December, been vacated in pursuance of a demolition order or closing order, or purchased compulsorily under section three of the Housing Repairs and Rents Act, 1954, in lieu of the making of a demolition order in respect thereof; and

(b) any person has, within three months after the service of the demolition or closing order or of the notice of determination to purchase required by subsection (3) of the said section three, or, where the order or notice was served before the date of the passing of this Act, within three months after that date, made a representation to the appropriate authority that the house has been well maintained and that the good maintenance of the house is attributable wholly or partly to work carried out by him or at his expense; and

(c) leaving out of account any defects in the house in respect of any such matters as are mentioned in paragraphs (b) to (h) of subsection (1) of section nine of the said Act of 1954, the representation is correct,

the appropriate authority shall (subject to subsection (4) of this section) make to that person in respect of that house the like payment as would have fallen to be so made under the said section forty-two if the house had been a house to which that section applies and directions had been given by the Minister for the making of a payment thereunder.

(3) If, on receiving a representation under the last foregoing subsection, the appropriate authority consider that the condition specified in paragraph (c) of that subsection is not satisfied, they shall serve upon the person by whom the representation was made notice that no payment falls to be made to him under that subsection; and section fifteen of the principal Act (which provides for an appeal against certain notices and orders) shall apply in relation to any notice under this subsection, so, however, that if the persons who would be entitled to appear and be heard on any appeal made by virtue of this subsection under the said section fifteen so agree in writing, any matter in dispute which might have been the subject of such an appeal shall instead be submitted to arbitration.

(4) No payment under the said section forty-two or under subsection (2) of this section shall be made to any person in respect of a house in a case where a payment falls to be made in respect of an interest of that person in that house under section one or two of this Act; and where any such payment as first mentioned has been so made before the passing of this Act, the amount thereof shall be deducted from the payment otherwise falling to be made in respect of that person's interest in the house under the said section one or two:

Provided that where the payment under the said section one or two falls to be made in relation to part only of the house, this subsection shall not apply to so much of any amount which has been paid or which would otherwise be payable under the said section forty-two or under subsection (2) of this section as may reasonably be attributed to the remainder of the house.

Interpretation. 4.—(1) For the purposes of this Act, a house which might have been the subject of a demolition order but which has, without the making of such an order, been vacated and demolished in pursuance of an undertaking for its demolition given to the local authority shall be deemed to have been vacated in pursuance of a demolition order made and served at the date when the undertaking was given.

(2) In this Act, except where the context otherwise requires, the following expressions have the following meanings respectively, that is to say—

“appropriate authority” means the authority by whom the compulsory purchase order, clearance order, demolition order or closing order in question was made;

“business”, in relation to the purposes for which a house was occupied, does not include the letting of accommodation in that house, whether with or without service;

“clearance order” means an order under section twenty-six of the principal Act;

“closing order” means an order under section ten of the Local Government (Miscellaneous Provisions) Act, 1953, made in lieu of a demolition order;

“compensation”, in relation to compulsory purchase, means the compensation payable in respect thereof apart from any payment under section thirty-one or thirty-five of the Town and Country Planning Act, 1954;

“demolition order” means an order under section eleven of the principal Act, but does not include such an order in respect of a house already subject to a closing order so far as it affects any part of the house in relation to which a payment under section one or section three of this Act has fallen to be made in respect of the closing order;

“family”, in relation to any person, means the husband or wife, the children over eighteen years of age and the parents of that person;

“full compulsory purchase value”, in relation to any interest in a house, means the compensation payable in respect of the compulsory purchase of that interest if that compensation fell to be assessed in accordance with subsections (1) and (4) of section forty of the principal Act and paragraph 2 of the Fourth Schedule to that Act had not been passed and, in the case of a house subject to a clearance order, demolition order or closing order, if the making of that order were the service of the notice to treat;

“house” has the same meaning as in the principal Act and includes any building constructed or adapted wholly or partly as, or for the purposes of, a dwelling;

“interest” in a house does not include the interest of a tenant for a year or any less period than a year or of a tenant whose sole right to possession is under the Rent and Mortgage Interest Restrictions Acts, 1920 to 1939;

“material period” means the period commencing with the first day of September, nineteen hundred and thirty-nine, and ending immediately before whichever is the earlier of the thirteenth day of December, nineteen hundred and fifty-five, or—

(a) in the case of a house comprised in an area declared as a clearance area under section twenty-five of the principal Act, the date when the area was so declared;

(b) in the case of a house authorised by an order confirmed by the Minister under subsection (3) of section thirty-six of the principal Act to be purchased compulsorily as being unfit for human habitation and not capable at reasonable expense of being rendered so fit, or a house purchased compulsorily under Part IV of the Town and Country Planning Act, 1947, declared to be unfit for human habitation by an order confirmed by the Minister under paragraph 9 of the Fifth Schedule to the Town and Country Planning Act, 1944, the date when the order was made;

(c) in the case of a house purchased compulsorily under section sixteen of the principal Act after the court, in allowing an appeal against a notice requiring the execution of works to that house, has found that the house cannot be rendered fit for human habitation at a reasonable expense, the date when that notice was served;

(d) in the case of a house purchased compulsorily under section three of the Housing Repairs and Rents Act, 1954, in lieu of the making of a demolition order in respect thereof, the date when the notice required by subsection (3) of that section was served;

(e) in the case of a house vacated in pursuance of a demolition order or closing order, the date when the order was made;

“the Minister” means the Minister of Housing and Local Government;

“principal Act” means the Housing Act, 1936;

"site value" in relation to the compulsory purchase of a house, means compensation in respect thereof assessed in accordance with the provisions of subsection (4) of section sixteen, or subsection (2) or (3) of section forty, of the principal Act.

(3) Save where the context otherwise requires, references in this Act to any enactment shall be construed as references to that enactment as amended by or under any other enactment, including any enactment contained in this Act.

Expenses.

5. Any increase attributable to the provisions of this Act in the sums payable under any other Act out of moneys provided by Parliament shall be defrayed out of moneys so provided.

Citation and extent.

6.—(1) This Act may be cited as the Slum Clearance (Compensation) Act, 1956, and shall be included among the Acts which may be cited together as the Housing Acts, 1936 to 1956.

(2) This Act shall not extend to Scotland or to Northern Ireland.

Table of Statutes referred to in this Act

Short Title	Session and Chapter
Housing Act, 1936	26 Geo. 5. & 1 Edw. 8. c. 51.
Town and Country Planning Act, 1944 ...	7 & 8 Geo. 6. c. 47.
Town and Country Planning Act, 1947 ...	10 & 11 Geo. 6. c. 51.
Local Government (Miscellaneous Provisions) Act, 1953	1 & 2 Eliz. 2. c. 26.
Housing Repairs and Rents Act, 1954 ...	2 & 3 Eliz. 2. c. 53.
Town and Country Planning Act, 1954 ...	2 & 3 Eliz. 2. c. 72.

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